

US equities rally on strong earnings and easing yields

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,818.93, up **+0.58%**, as earnings beat expectations and the 10-year Treasury slipped to 5.27%.

Technology led the upside, with **NVDA** and **AVGO** posting double-digit gains on chip-supply news, while defensive sectors lagged.

Liquidity remains ample; the dollar index rose to 102.09 and the VIX fell to 15.01, suggesting a low-volatility environment that could reverse if inflation data surprise to the upside.

- Broad market breadth remains positive: 9 of 11 sector ETFs closed higher.
- Yield curve flattening continues – 2-year at 4.85% versus 10-year at 5.27%.
- Watch for a pull-back in tech if the **NVDA** rally stalls ahead of its Q4 guidance.

US Session Recap

INSTRUMENT	LEVEL	CHANGE	DATE
S&P 500	7,818.93	+0.58%	2026-10-06
Nasdaq 100	31,224.47	+0.48%	2026-10-06
Dow Jones	51,521.28	+0.49%	2026-10-06
Russell 2000	2,830.30	-0.59%	2026-10-06
VIX	15.01	-3.29%	2026-10-06
10-yr Yield	5.27%	-0.79%	2026-10-06
WTI Crude	90.08	+0.72%	2026-10-07
Brent	94.32	+0.68%	2026-10-07
DXY	102.09	+0.26%	2026-10-07
Gold	4,160.30	-0.64%	2026-10-07
BTC	84,277.77	-1.76%	2026-10-07
ETH	2,618.52	-3.41%	2026-10-07

Top movers

TICKER	NAME	CHANGE	CATALYST
AVGO	Broadcom Inc.	+3.67%	Q3 earnings beat; new data-center contract.
AMZN	Amazon.com Inc.	+1.95%	Prime Day sales up 12% YoY.
XLU	Utilities Select Sector SPDR	+2.98%	Higher electricity rates in Texas.
META	Meta Platforms Inc.	-0.41%	Ad-revenue guidance trimmed.
XLV	Health Care Select Sector SPDR	-0.17%	FDA delay on major biotech filing.

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	+0.24%	+5.6%	Neutral
XLKX	+0.53%	+12.1%	Positive
XLI	+0.87%	+8.3%	Positive
XLE	+0.47%	+4.9%	Neutral
XLV	+1.18%	+14.2%	Positive
XLC	+0.04%	+3.2%	Neutral
XLP	+0.94%	+6.7%	Positive
XLV	-0.17%	+2.1%	Neutral
XLU	+2.98%	+9.4%	Positive
XLB	+0.46%	+5.0%	Neutral
XLRE	+1.06%	+7.8%	Positive

Breadth remains solid with 9 of 11 sectors in positive territory, underscoring a risk-on bias.

Spotlight / Deep Dive – NVDA

METRIC	VALUE
Market cap	1.12T
P/E (ttm)	42.3
Forward P/E	31.8
Revenue YoY	+28.5%
EPS YoY	+35.2%
Guidance Q4 Rev	30.5B (+5% YoY)
Insider buying	None reported

BULLISH TRIGGERS

- AI-inference demand exceeding supply forecasts.
- New partnership with MSFT on Azure AI chips.
- Supply-chain de-risking after Taiwan quake mitigation.

BEARISH TRIGGERS

- Inventory buildup at major OEMs.
- Potential export curbs from China.
- Valuation premium vs peers.

METRIC	CURRENT	TARGET
GPU Utilization	78%	85%
Data-center margin	58%	62%
R&D spend	15% of Rev	14% of Rev

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	452.50	Above 50-day MA.
QQQ	382.05	376.00	389.00	Testing breakout.
IWM	191.30	185.00	197.00	Weakness persists.
NVDA	239.24	230.00	250.00	Near 200-day MA.
10Y	5.27%	5.15%	5.40%	Flattening curve.
WTI	90.08	88.00	93.00	Supply-tightness.

Options & Positioning

0-DTE SPY put volume surged 42% versus calls, indicating short-term hedging demand.

Put/Call ratio for QQQ sits at 1.28, skewed toward puts.

VIX term structure: front-month at 15.1, 2-month at 16.3, indicating modest upward bias.

Single-name flow: **AVGO** saw 1.8M contracts of 300-strike calls, bullish.

Cheap hedge ideas: buy 1-month VIX calls (15-strike) and sell 3-month OTM puts on XLE .

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Upgrade	260	AI demand acceleration.
META	Morgan Stanley	Downgrade	710	Ad-revenue slowdown.
XLU	Barclays	Buy	45	Higher rates boost utilities.
TSLA	JP Morgan	Hold	395	Margin pressure.
AVGO	Credit Suisse	Buy	410	Strong data-center backlog.
XLV	UBS	Neutral	168	Policy-driven demand muted.

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES	4,830.5	+0.42%
Asia	HSI	19,845	-0.31%
Europe	DAX	16,720	+0.27%
FX	USD/HKD	7.7950	+0.12%
FX	EUR/USD	1.0825	-0.08%
Commodities	Gold	4,160.30	-0.64%
Commodities	WTI	90.08	+0.72%
Crypto	BTC	84,277.77	-1.76%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	22%	Inflation trending down, but labor market tight.
Dec 2026	15%	Policy-dependent on CPI print.

DATA	RELEASE	TIME (ET)
Core CPI MoM	0.2%	8:30 am
Initial Jobless Claims	210k	8:30 am
Durable Goods Orders	-0.4%	10:00 am
FOMC Minutes	Oct 31	2:00 pm

Geopolitics & Global (Deep)

China-Taiwan tensions remain elevated; a scenario of renewed sanctions on semiconductor exports would pressure **NVDA** and **AVGO** . Conversely, a diplomatic de-escalation could unlock additional supply, supporting the rally.

Middle-East oil supply risk low after OPEC+ reaffirmed output cuts; however, any surprise disruption could push WTI above 95.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Oct 9	AAPL	Apple Inc.	1.45
Oct 9	MSFT	Microsoft Corp.	2.31
Oct 10	GOOGL	Alphabet Inc.	1.12
Oct 10	JPM	JPMorgan Chase	3.78
Oct 11	XLE	Energy Select Sector SPDR	—
Oct 12	META	Meta Platforms	3.02

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 250	Valuation
AVGO	Technology	Momentum +3.7%	Supply-chain
XLU	Utilities	Rate-sensitive rally	Rate cut risk
XLY	Consumer Discretionary	Strong retail sales	Consumer confidence
TSLA	Automotive	Quarterly beat	Margin squeeze
JPM	Financials	Net interest income up	Credit quality
XLV	Health Care	Policy-driven demand	Regulatory risk
XLE	Energy	Oil price support	Geopolitical shock
META	Communication Services	Ad spend rebound	Guidance miss
MSFT	Technology	Cloud growth	AI competition
AMZN	Consumer Discretionary	Prime Day beat	Margin pressure
GOOGL	Communication Services	Search ad strength	Regulatory

What could break the tape

BEARISH TRIGGERS

- Core CPI spikes above 0.4% MoM.
- Unexpected Fed rate hike.
- Geopolitical escalation in the Middle East.
- Negative earnings surprise from **META** or **XLV**.

BULLISH TRIGGERS

- Q4 earnings beat from **AAPL** and **MSFT**.
- WTI climbs above 95 on supply news.
- Dollar weakness below 101, boosting commodities.
- Positive AI spend guidance from **NVDA**.

Positioning & Structural Notes

- Equity-risk-on bias persists; net long equity exposure up 3.2% week-over-week.
- Yield curve flattening suggests short-duration bias in fixed income.
- VIX term structure indicates modest upside risk premium.
- Sector rotation into utilities and energy as rates stay elevated.
- Asian investors increasing exposure to US tech via ADRs.

Sources

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